

Dabur India: a quality franchise, still priced for more than it delivers

RATING
HOLD

TARGET
PRICE
₹395

PRICE
(EARLY OCT
2026)
₹380

UPSIDE
+3.8%

The stock has fallen about 30% in a year, but our DCF still says it is expensive. Dabur combines strong brands, a net-cash balance sheet and steady cash generation. Even after the fall, at about 32 times FY27E earnings the market is paying for growth well above what we forecast.

Investment summary

- **Fundamental value of ₹203 a share.** Our FCFF DCF (WACC 10.35%, terminal growth 5%) values the equity at ₹35,985 crore. To justify ₹380, the market must expect about 7.8% growth for ever, or a cost of capital near 7.8%.
- **Peers say ₹586.** Applying the average P/E, EV/EBITDA and P/S of five Indian FMCG leaders gives ₹586. Those multiples date from July 2026; the sector has since de-rated, so this figure is an upper bound.
- **Target ₹395 = equal weight of the two.** With limited upside, we start at HOLD.
- **What would make us buyers:** delivery on management's goal of double-digit underlying volume growth and stronger FY27 margins from a premium mix.
What would make us sellers: escalation of the US FDA warning letter at the Silvassa plant, or a second year of weak rural demand.

Key data

Price (early October 2026)	₹380
52-week range	₹377 - ₹577
Shares outstanding	177.23 crore
Market capitalisation	₹67,347 crore
Net cash and investments	₹2,500 crore
P/E, FY26 / FY27E	36.1x / 32.1x
ROE, FY26	16%
Interest cover, FY26	37x

Key financials (₹ crore)

	FY25	FY26	FY27E	FY28E
Revenue	12,563	13,193	14,248	15,530
Growth	1.3%	5.0%	8.0%	9.0%
EBITDA	2,317	2,507	2,778	3,106
EBITDA margin	18.4%	19.0%	19.5%	20.0%
Net profit	1,768	1,869	2,096	2,342
EPS (₹)	9.98	10.54	11.83	13.22
P/E at ₹380	38.1x	36.1x	32.1x	28.7x

Consolidated. FY27E onwards are our forecasts.

1. Investment thesis

A strong franchise with an unusually safe balance sheet

Dabur is one of India's oldest consumer companies, founded in 1884, with brands across health care, personal care and foods, and a meaningful international business. It earns a return on equity of about 16%, covers its interest 37 times over and holds more cash and investments than debt. Few Indian consumer companies combine that resilience with Ayurveda-led brands that carry pricing power.

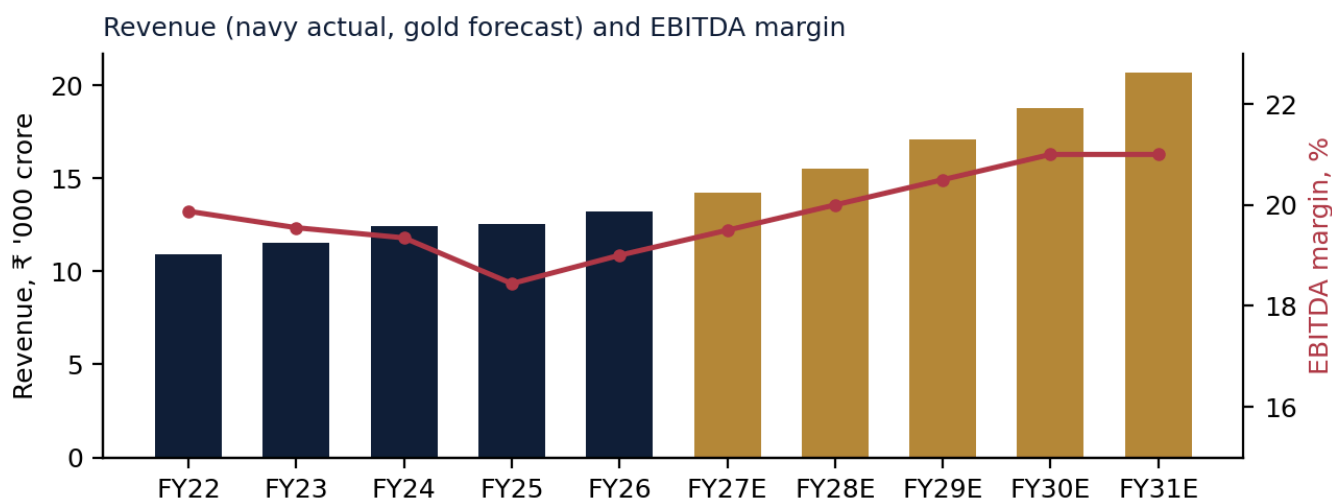
Growth is recovering, but from a low base

Revenue grew only 1.3% in FY25 and 5.0% in FY26 as rural demand softened and competition intensified. We forecast a recovery to 8% in FY27 and 9-10% thereafter, with EBITDA margins rising from 19.0% to 21.0% by FY31 as premium products take a larger share. Management's July 2026 commentary points the same way: stronger FY27 margins from a premium mix, profit growth ahead of revenue growth, and an aim of double-digit underlying volume growth.

The valuation question

Even after a 30% fall, Dabur trades at about 32 times our FY27 earnings. Our reverse DCF shows the price requires either perpetual growth of about 7.8% (against our 5%) or a cost of capital of about 7.8% (against our 10.35%). Both are possible for an exceptional franchise; neither is our base case.

Our call: HOLD with a target price of ₹395. The business is better than the share-price trend suggests, but the valuation already assumes a recovery that has not yet appeared in the numbers.



FY22-FY26 actual (consolidated); FY27E-FY31E our forecasts.

2. Company overview

What Dabur sells

- **Health care:** Ayurvedic and over-the-counter products such as Dabur Chyawanprash, Dabur Honey, Honitus and Hajmola.
- **Home and personal care:** hair oils (Dabur Amla, Vatika), oral care (Dabur Red Paste), skin care and home care (Odonil, Odomos).
- **Foods and beverages:** Real fruit juices and, since its acquisition, Badshah Masala spices.
- **International:** the Middle East, Egypt, Turkey, Nepal, Bangladesh and the United States, a source of growth and of currency risk.

Why it matters

- **Pricing power from trust:** Ayurveda-led brands built over decades are hard for new entrants to copy.
- **Reach:** one of the widest rural and urban distribution networks among Indian consumer companies.
- **Capital light:** capex of about 4–5% of revenue and high cash conversion fund steady dividends.

Working capital

We assume receivable days of 24, inventory days of 150 and payable days of 95, so cash is tied up for about 79 days: the price of carrying herbal raw materials and seasonal stock.

3. Financial analysis

₹ crore	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	10,889	11,530	12,404	12,563	13,193	14,248	15,530	17,083	18,792	20,671
EBITDA	2,164	2,254	2,400	2,317	2,507	2,778	3,106	3,502	3,946	4,341
EBITDA margin	19.9%	19.5%	19.3%	18.4%	19.0%	19.5%	20.0%	20.5%	21.0%	21.0%
Net profit	1,744	1,707	1,843	1,768	1,869	2,096	2,342	2,636	2,965	3,254
EPS (₹)	9.84	9.63	10.40	9.98	10.54	11.83	13.22	14.87	16.73	18.36
ROE	24%	20%	21%	16%	16%	16%	17%	17%	18%	18%

Margins compressed from about 20% in FY22 to 18.4% in FY25 as input costs rose and growth slowed; FY26 marked the first recovery. Our forecast assumes margins return to 21% by FY30, close to the peer average, with operating leverage and premiumisation doing the work.

4. Valuation: discounted cash flow

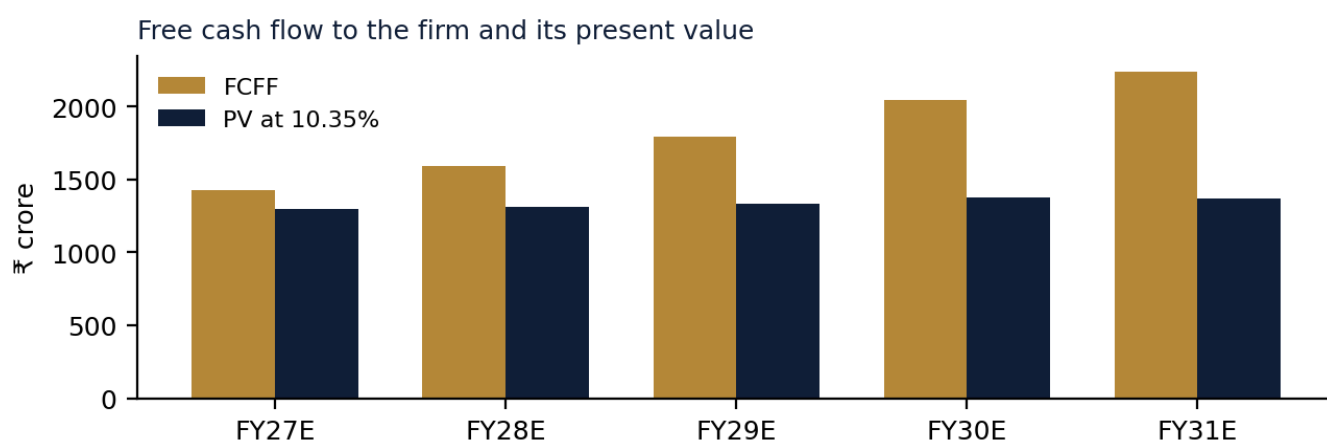
Cost of capital

Risk-free rate (10-year government bond)	6.60%
Beta (versus Nifty FMCG)	0.55
Equity risk premium	7.00%
Cost of equity	10.45%
After-tax cost of debt	5.78%
Weights (equity / debt)	97.9% / 2.1%
WACC	10.35%

A low beta reflects demand for daily necessities that barely moves with the economy.

From cash flow to value per share

Sum of PV of FCFF, FY27E-FY31E	₹6,683 Cr
Terminal value (5% growth)	₹43,862 Cr
PV of terminal value	₹26,802 Cr
Enterprise value	₹33,485 Cr
Less debt, plus cash and investments	+₹2,500 Cr
Equity value	₹35,985 Cr
Value per share (177.23 crore shares)	₹203.04



Sensitivity of value per share (₹)

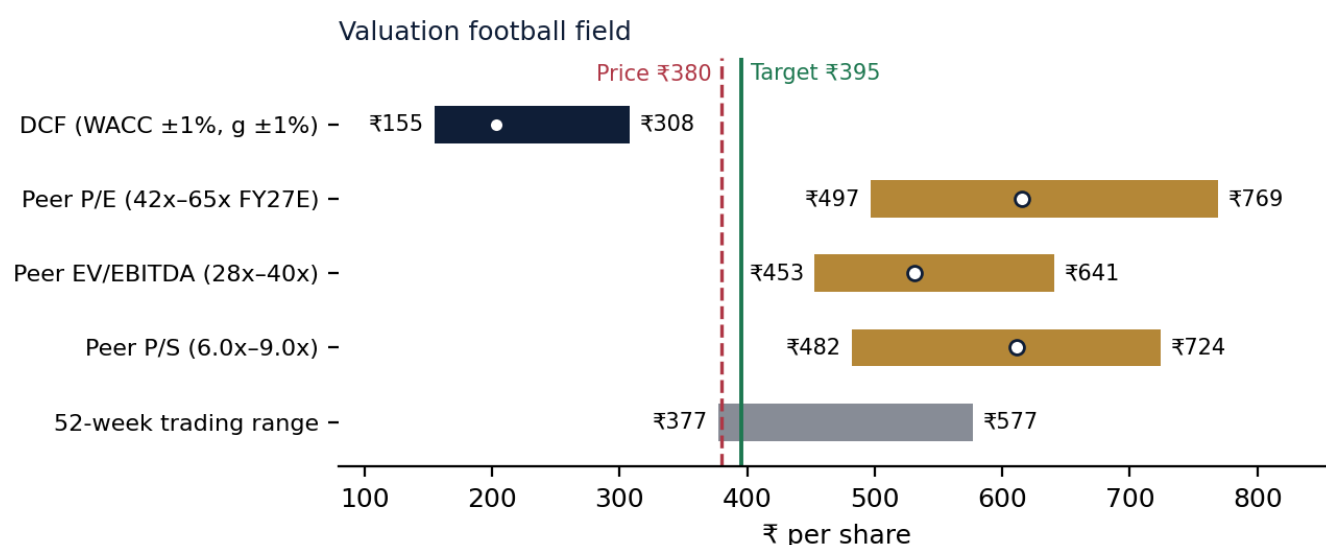
Terminal growth \ WACC	9.35%	9.85%	10.35%	10.85%	11.35%
4.0%	210	192	178	166	155
4.5%	227	206	189	175	163
5.0%	247	223	203	187	173
5.5%	274	243	219	200	183
6.0%	308	269	240	216	196

Reverse DCF: to justify ₹380 with our cash flows, perpetual growth must be about 7.8% at a 10.35% WACC, or the WACC must fall to about 7.8% at 5% growth. Terminal value is about 80% of enterprise value, so long-run assumptions dominate.

5. Valuation: peers and the football field

Company	P/E	EV/EBITDA	P/S
Hindustan Unilever	55x	35x	9.0x
Nestle India	65x	40x	8.5x
Colgate-Palmolive (India)	42x	28x	8.0x
Marico	48x	32x	6.5x
Godrej Consumer Products	50x	30x	6.0x
Average	52x	33x	7.6x
Implied Dabur value per share	₹615	₹531	₹611

Indicative multiples from market commentary as of July 2026, applied to FY27E EPS ₹11.83, EBITDA ₹2,778 crore and revenue ₹14,248 crore. The sector has de-rated since; refresh from a terminal before relying on them.



Target price

We weight the DCF (₹203) and the peer average (₹586) equally to reach **₹395**. The DCF anchors us to cash flows; the peers reflect what the market pays for Indian consumer franchises. With the price at about ₹380, expected return is about 4% before dividends, hence HOLD. For context, published broker views range widely, from Neutral at ₹485 to Buy at ₹625.

6. Risks and catalysts

Downside risks

- **Regulatory and quality:** the US FDA issued a warning letter to the Silvassa plant in August 2026 over quality-system issues; escalation could affect exports. An FSSAI order on "100% pure" labelling was stayed by the High Court in August 2026, but labelling rules remain a risk for the foods business.
- **Rural demand:** a weak monsoon or slow rural recovery would delay volume growth.
- **Competition:** larger peers and new digital-first brands compete in hair oils, oral care and juices.
- **Input costs:** honey, herbs, packaging and vegetable oils can squeeze margins.
- **Currency:** depreciation in Turkey and Egypt hurts reported international earnings.

Upside catalysts

- **Volume recovery:** delivery on double-digit underlying volume growth would support a re-rating.
- **Margin expansion:** a richer premium mix and operating leverage, as guided for FY27.
- **Capital allocation:** a net-cash balance sheet leaves room for bolt-on acquisitions or higher payouts.
- **Sector sentiment:** a recovery in consumer staples valuations would lift peers and Dabur together.

What would change our rating

Upgrade to BUY below ₹330, or on two quarters of high single-digit volume growth with margins above 20%. **Downgrade to SELL** above ₹460 without earnings upgrades, or if the FDA issue widens.

7. Appendix: method and disclosures

Forecasts come from the author's three-statement model of Dabur's consolidated accounts (FY22–FY26 actuals, FY27–FY31 forecasts). $FCFF = EBIT \times (1 - \text{tax}) + \text{depreciation} - \text{capex} - \text{increase in working capital}$. Working capital days are estimates. Share price and news as reported in public sources in August to October 2026; check the latest before relying on them.

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